Finnair

FY2025 · Network airline · reporting currency EUR · peer group: Network airlines

Ratings: S&P BB+ (stable), as at 31 Dec 2025

Credit tearsheet
12 Nov 2026

SNAPSHOT

Finnair, the Finnish network carrier, closed FY2025 with revenue broadly unchanged at **EUR 3.1bn** and EBITDA of **EUR 408m**, as prolonged industrial action in the first half weighed on the result.

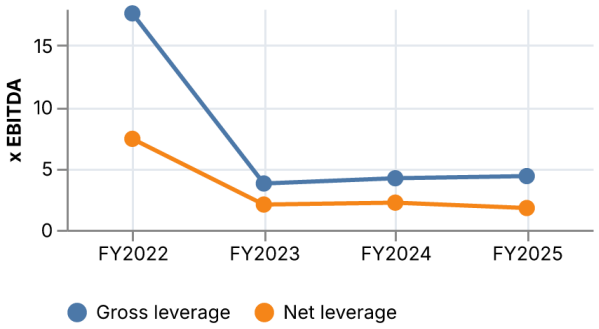
Net leverage fell by **0.44x** to **1.77x** as net debt was reduced by **26.4%** to **EUR 722m**.

The point to watch is earnings quality: the EBITDA margin narrowed by **1.5 points** to **13.1%**, the weakest of the network peers (**3rd of 3**), with FFO to debt down to **18.0%**.

KEY FIGURES

	FY2022	FY2023	FY2024	FY2025
Revenue	EUR 2.4bn	EUR 3.0bn	EUR 3.0bn	EUR 3.1bn
EBITDA	EUR 149m	EUR 538m	EUR 445m	EUR 408m
EBITDA margin	6.3%	18.0%	14.6%	13.1%
Total debt	EUR 2.6bn	EUR 2.0bn	EUR 1.9bn	EUR 1.8bn
Net debt	EUR 1.1bn	EUR 1.1bn	EUR 981m	EUR 722m
Net leverage	7.40x	2.05x	2.21x	1.77x
Gross leverage	17.62x	3.77x	4.20x	4.37x
Interest coverage	1.08x	3.78x	4.15x	4.98x
FFO to debt	*n.a.*	21.7%	21.8%	18.0%
Free cash flow	EUR 171m	EUR 68.1m	EUR 379m	EUR 193m
FCF to debt	6.5%	3.4%	20.3%	10.8%
FCF after leases	EUR 3.1m	EUR −130m	EUR 209m	EUR 50.8m
Capex intensity	3.7%	13.5%	7.7%	6.7%
Liquidity	*n.a.*	*n.a.*	EUR 1.1bn	EUR 1.3bn
Liquidity to revenue	*n.a.*	*n.a.*	35.6%	40.6%
Short-term debt cover	*n.a.*	*n.a.*	3.74x	6.93x

LEVERAGE



LIQUIDITY AGAINST MATURITIES



CREDIT METRICS

EBITDA declined by **8.2%** to **EUR 408m** on revenue of **EUR 3.1bn**, broadly unchanged on the prior year.

Operating profit fell by **43.8%** to **EUR 64.2m** as depreciation, amortisation and impairment rose by **4.1%** to **EUR 344m**.

Total debt was reduced by **4.4%** to **EUR 1.8bn**, but gross leverage rose by **0.17x** to **4.37x** as EBITDA declined by **8.2%**.

Interest coverage improved by **0.83x** to **4.98x** as finance costs fell by **23.6%** to **EUR 81.9m**.

Cash generation weakened: FFO fell by **21.2%** to **EUR 320m** and FCF by **49.1%** to **EUR 193m**, taking FFO to debt down by **3.8 points** to **18.0%** and FCF to debt to **10.8%**.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).

EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.

EBITDA margin: EBITDA ÷ revenue.

Total debt: Borrowings + lease liabilities, current and non-current.

Net debt: Total debt − cash and cash-like investments. Negative means net cash.

Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.

Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.

Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.

FFO to debt: FFO ÷ total debt.

Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).

FCF to debt: Free cash flow ÷ total debt.

FCF after leases: Cash from operations − net capex − lease principal payments − interest paid where the company shows it in financing cash flows.

Capex intensity: Purchases of PP&E and intangibles ÷ revenue.

Liquidity: Cash + cash-like investments + undrawn committed facilities.

Liquidity to revenue: Liquidity ÷ revenue.

Short-term debt cover: Liquidity ÷ debt due within one year.

OPERATING METRICS

	FY2022	FY2023	FY2024	FY2025
Passengers	9.1m	11.0m	11.7m	11.9m
ASK	*pending*	*pending*	*pending*	*pending*
Load factor	*pending*	*pending*	*pending*	*pending*
RASK (euro cents)	*pending*	*pending*	*pending*	*pending*
CASK (euro cents)	*pending*	*pending*	*pending*	*pending*
Fuel share of costs	32.7%	32.1%	30.5%	28.9%
Advance ticket cover	29.7%	55.0%	74.5%	67.4%

Passengers were broadly stable at **11.9m**, a change of **2.0%**, with the fleet at **79** aircraft and an average age of **14.3 years**.

Fuel cost was broadly unchanged at **EUR 879m**, a change of **1.7%**, and the fuel share of costs fell by **1.6 points** to **28.9%**.

Finnair purchased leased A321 aircraft during the year, and all aircraft were in operative use at the balance sheet date.

PEERS: NETWORK AIRLINES, PEER YEAR 2025

	AF-KLM	IAG	Finnair	Median
EBITDA margin	15.3% (2)	23.0% (1)	**13.1%** (3)	15.3%
Net leverage	1.71x (2)	0.78x (1)	**1.77x** (3)	1.71x
Gross leverage	3.07x (2)	1.86x (1)	**4.37x** (3)	3.07x
Interest coverage	8.06x (2)	11.49x (1)	**4.98x** (3)	8.06x
FFO to debt	27.4% (2)	45.5% (1)	**18.0%** (3)	27.4%
FCF to debt	3.9% (3)	22.1% (1)	**10.8%** (2)	10.8%
Capex intensity	13.5%	10.4%	**6.7%**	10.4%
Cash liquidity to revenue (partial)	20.8% (3)	25.0% (2)	**34.2%** (1)	25.0%
Liquidity to revenue	*pending*	33.0% (2)	**40.6%** (1)	36.8%
Advance ticket cover	62.2% (1)	96.6% (3)	**67.4%** (2)	67.4%
Fuel share of costs	*n.a.*	25.1%	**28.9%**	27.0%
Load factor	*n.a.*	85.6% (1)	*pending*	85.6%
Fuel hedge ratio	*n.a.*	*n.a.*	*n.a.*	n.a.

Finnair's strongest position is liquidity: cash liquidity to revenue is the highest of the network peers (**1st of 3**), against a median of **25.0%**.

It is weakest on earnings and leverage: the EBITDA margin is the lowest of the group (**3rd of 3**), and gross leverage is above the peer median of **3.07x**.

FCF to debt ranks **2nd of 3** and advance ticket cover **2nd of 3**, so both sit in the middle of the group.

LIQUIDITY AND FUNDING

Liquidity rose by **16.3%** to **EUR 1.3bn**, of which **EUR 200m** in undrawn committed facilities, broadly unchanged on the prior year, and cash and cash-like investments increased by **20.0%** to **EUR 1.1bn**.

Near-term maturities are well covered: debt due within one year fell by **37.3%** to **EUR 182m**, taking short-term debt cover up by **3.19x** to **6.93x**, and borrowings due within two years declined by **60.2%** to **EUR 72.5m**, so liquidity covers them **17.39x**.

Cash flow after lease payments is the weaker measure: FCF after leases fell by **75.7%** to **EUR 50.8m**, taking FCF after leases to debt down by **8.4 points** to **2.8%**, as cash from operations declined by **34.4%** to **EUR 402m**.

Customer prepayments remain a material part of the funding base: contract liabilities rose by **8.5%** to **EUR 715m**, while advance ticket cover fell by **7.1 points** to **67.4%**.

WATCH ITEMS

- Cash generation: FCF after leases fell by **75.7%** to **EUR 50.8m**, only **2.8%** of debt, so the cash left for debt holders after lease payments is thin.
- Earnings: the EBITDA margin narrowed by **1.5 points** to **13.1%**, below the peer median of **15.3%**, and FFO to debt fell by **3.8 points** to **18.0%** against a peer median of **27.4%**.
- Leverage: gross leverage rose by **0.17x** to **4.37x**, above the peer median of **3.07x**, and interest coverage of **4.98x** remains below the peer median of **8.06x**.
- Cost base: industrial action in the first half weighed on the result, and costs related to environmental regulation and navigation and landing charges added to it, with operating profit down **43.8%** to **EUR 64.2m**.

ANALYST VIEW

Written by the analyst; never drafted by the AI.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.
ASK: Available seat kilometres.
Load factor: RPK ÷ ASK.
RASK: Revenue ÷ ASK.
CASK: (Revenue – operating profit) ÷ ASK.
Fuel share of costs: Fuel cost ÷ (revenue – operating profit).
Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).
Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.
Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.
pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.
n.a.: not available for that year.
Sources: FY2023 filing · FY2024 filing · FY2025 filing. Peers' filings and every fingerprint: Excel backup, Manifest sheet.
Manifest: 123 source figures from 11 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7 + draft-v8 (liquidity_funding, watch_items), fact sheet d5bf967be45a; code ef775b82a151; exported 2026-11-12 15:39 UTC.

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